IN THE MATTER OF VERDANT ENERGY SYSTEMS LIMITED v CALDERHALL CELLS LIMITED

Claim No. HT-2026-000087

ADVICE ON MERITS AND QUANTUM

Introduction

1. I am asked to advise Verdant Energy Systems Limited ("Verdant") on the merits of its claim against Calderhall Cells Limited ("Calderhall") and on the principal issues likely to arise at trial, in particular the effect of the limitation and exclusion provisions in clause 11 of the Cell Supply Agreement.

Liability

2. In my view Verdant has a strong case on breach. The Wraysbury report identifies classic manufacturing defects — cathode-coating delamination, inconsistent electrode loading, separator contamination and lithium plating — which on their face establish non-conformity with clause 6.1 and with the implied terms under sections 13 and 14 of the Sale of Goods Act 1979. Calderhall's pleaded case that the defects were caused by Verdant's integration is, on the present evidence, weak: Strings A and B were installed identically, and the failure signatures are characteristic of cell manufacture rather than thermal misuse.

3. Calderhall's reliance on clause 12 (deemed acceptance) is unlikely to succeed in respect of latent defects that were not reasonably discoverable on the contractual acceptance testing. The 24-month warranty in clause 6.4 expressly survives commissioning.

The exclusion of consequential loss

4. The key battleground is clause 11. Calderhall contends that the liquidated damages Verdant paid to its EPC counterparty (£640,000) and the lost availability revenue (£284,000) are excluded as "indirect or consequential" loss. The better view, following the modern line of authority (including Star Polaris and Soulsbury), is that "consequential" in such a clause is confined to losses falling within the second limb of Hadley v Baxendale. Whether the EPC liquidated damages fall within the first limb is fact-sensitive and turns on what Calderhall knew at the time of contracting about Verdant's downstream date-certain obligations.

5. The contemporaneous record — the qualification-workshop minutes of 18 March 2024 and the email of 22 March 2024 — is therefore central. If Verdant can show that it told Calderhall of the energisation deadline and the availability-based revenue, there is a respectable argument that the EPC liquidated damages and the lost revenue are direct losses, recoverable notwithstanding clause 11.2. I would put Verdant's prospects of recovering these two heads (together £924,000) at around 55–60%.

6. The remaining heads (replacement cells, removal/reinstallation, investigation and extended preliminaries, totalling £1,551,200) are in my view plainly direct losses and recoverable subject to proof of quantum and reasonableness. They fall comfortably within the aggregate cap of £2,940,000, so the cap itself does not bite on quantum.

7. There is in addition a reasonableness challenge to clause 11 under the Unfair Contract Terms Act 1977. Given that this was a negotiated B2B contract between commercial parties of broadly equal bargaining power, I think the UCTA argument is secondary; the construction argument is the stronger route.

Overall assessment and recommendation

8. Overall I assess Verdant's prospects of establishing liability at around 75–80%, with full recovery of the £1,551,200 "direct" heads likely and recovery of the further £924,000 more finely balanced. A realistic risk-adjusted outcome is in the region of £1.9–2.1m plus interest and costs. I recommend that Verdant pursue early disclosure of Calderhall's batch-release and root-cause records and engage in a without-prejudice mediation once expert reports have been exchanged.

HARRIET STANFORD

Eldon Chambers, Temple, London EC4Y 9BL
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